Brennan Whitlock Valuation Pty Ltd
Property valuation and advisory

Independent Valuation
41 Kent Street, Ultimo

Market value as is and on completion, for first mortgage security purposes

Prepared for Quillwood Credit Partners
Borrower: Aldgate Property Group Pty Ltd
Valuation date: 6 March 2026
Version 1.0 (final)
Reference: BWV-2026-0306-ALD-01
Date: 6 March 2026

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Borrower	Aldgate Property Group Pty Ltd
ABN	81 781 967 121
Registered address	Level 4, 88 Quay Street, Haymarket NSW 2000
Property	41 Kent Street, Ultimo NSW (freehold development site)
Proposed improvements	9-level A-grade office building, 16,000 sqm GFA, 13,600 sqm NLA, 42 basement car spaces
Date of valuation	6 March 2026
Prepared for	Quillwood Credit Partners (the Lender)
Prepared by	Brennan Whitlock Valuation Pty Ltd
Purpose	Mortgage security for a proposed A$84.0M senior secured construction facility
Version	1.0 (final)

Report details

1. Executive summary

Quillwood Credit Partners has instructed Brennan Whitlock Valuation Pty Ltd to assess the market value of 41 Kent Street, Ultimo, on an as is basis and on an as if complete basis, for first mortgage security purposes. The proposed security supports a senior secured construction facility of A$84.0M to Aldgate Property Group Pty Ltd (the Borrower).

The site is a freehold parcel of about 1,850 sqm with development approval from the City of Sydney, granted in March 2025, for a 9-level office building. The approved scheme provides 16,000 sqm of gross floor area, 13,600 sqm of net lettable area, 42 basement car spaces and end-of-trip facilities. The building is designed to target a 5 Star Green Star Buildings rating and a NABERS Energy 5 Star commitment. Executed agreements for lease cover 38% of NLA, or 5,168 sqm, across two tenants.

Our conclusions, each stated on the assumptions and qualifications in Section 11, are as follows.

- Market value as is, on the basis of vacant possession of the site with the benefit of the development approval: A$52.0M. This equates to about A$3,250 per sqm of approved GFA.
- Market value on completion, as if complete and leased in line with the assumptions in this report: A$184.0M. This is the capitalised value of A$11.97M of net face income at a rate of 6.50%.
- Total development cost reported by the Borrower: A$160.0M, comprising land at A$52.0M, a guaranteed maximum price construction contract of A$84.0M, and A$24.0M of other costs including finance costs, professional fees and leasing incentives.
- The A$84.0M facility limit represents 45.7% of the as if complete value and 52.5% of total development cost. The implied profit on cost is 15.0%, or A$24.0M.

The valuation is most sensitive to the capitalisation rate and to leasing outcomes on the 62% of NLA that is uncommitted. A 50 basis point softening in the capitalisation rate reduces the as if complete value by about A$13M, to A$171.0M, and reduces profit on cost to about 6.9%. These sensitivities are set out in Section 8.

Measure	Value
Market value as is	A$52.0M
Market value as if complete	A$184.0M
Total development cost	A$160.0M
Facility limit	A$84.0M
Debt to as if complete value	45.7%
Debt to total development cost	52.5%
Profit on cost	15.0%
Pre-leasing by NLA	38%

Table 1: Valuation summary

2. Instructions and scope

We were instructed by Quillwood Credit Partners on the basis of an information memorandum dated 9 February 2026 prepared for the Borrower with the assistance of Tallis Corporate Advisory Pty Ltd. The valuation is for the exclusive use of the Lender for the purpose stated above. We accept no responsibility to any other party.

Market value is adopted as defined in the International Valuation Standards and the Australian Property Institute practice standards: the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties had each acted knowledgeably, prudently and without compulsion.

We inspected the site on 3 March 2026. We have relied on the development approval, the plans and area schedules in the information memorandum, summaries of the agreements for lease, and the Borrower's budget. At the valuation date the independent quantity surveying review by Cardew Hollis Quantity Surveyors Pty Ltd has not been delivered. We have therefore treated the construction contract sum and the cost budget as unverified Borrower information. Section 9 explains how this affects our reliance on the cost figures.

Brennan Whitlock Valuation Pty Ltd has no current or past relationship with the Borrower, its directors or its shareholders. We have not previously valued the property.

3. Borrower and sponsor

Aldgate Property Group Pty Ltd (ABN 81 781 967 121) is a Sydney-based, family-controlled developer and manager of mid-sized office buildings on the CBD fringe, with a focus on Ultimo, Pyrmont, Surry Hills and Haymarket. It is controlled by the Moretti family through Moretti Family Holdings Pty Ltd. The group develops, holds and manages assets, and earns development management fees and rental income from a small completed portfolio. The group has no relationship with Aldgate Logistics despite the similar name.

The board comprises Marco Moretti (Founder and Managing Director), Elena Moretti-Hayes (Executive Director, Finance and Development) and Graham Tsang (Independent Non-Executive Director and Chair). The group is advised by Ashby Rennick Lawyers and is audited by Pemberton Gray Audit.

The group was established in March 2004 by Franco Moretti and his sons to develop small commercial buildings in inner Sydney. Its record is relevant to our assessment of delivery and leasing risk, and is summarised below.

Date	Milestone
Mar 2004	Group established in Sydney
Nov 2011	6-level office building, Wattle Street, Ultimo completed (A$48M end value), retained
Aug 2019	7,200 sqm Surry Hills office refurbished and re-leased; 49% interest sold to a joint venture partner
Jun 2023	41 Kent Street acquired for A$49.5M
Mar 2025	Development approval granted
Nov 2025	Agreements for lease executed over 38% of NLA

Table 2: Borrower track record and project history

The Borrower reports last twelve month group revenue of A$31.4M and EBITDA of A$9.8M. Group net debt is A$38.5M, giving leverage of 3.9 times EBITDA, and the completed portfolio is 94% occupied. We have not audited these figures, and they are outside the scope of a valuation. We note them because the group's existing facilities funded part of the 2023 site acquisition, and because group net debt will rank alongside this project's funding needs.

4. Property description

4.1 Location and site

Ultimo lies on the south-western edge of the Sydney CBD, adjoining Haymarket, Pyrmont and Surry Hills. The area has a long-standing mix of education, media, technology and professional services occupiers, supported by light rail, bus services and walking access to Central and Town Hall stations. Kent Street at this location is a secondary commercial street, with a mix of older office, mixed-use and education buildings.

The site has an area of about 1,850 sqm. The approved GFA of 16,000 sqm implies a floor space ratio of about 8.65 to 1. The approved NLA of 13,600 sqm is 85% of GFA, which is an efficient ratio for a building of this scale. We have relied on the Borrower's survey information for area and boundaries and have not commissioned a survey.

4.2 Planning

The City of Sydney granted development approval in March 2025 for a 9-level office building. We have assumed that the approval is current, that all conditions that must be satisfied before construction can be met in the ordinary course, and that no appeal or modification is pending. Ashby Rennick Lawyers is the Borrower's counsel, and the Lender's own counsel should confirm the approval status and the consent conditions.

4.3 Title and encumbrances

The site was acquired in June 2023 for A$49.5M, funded by existing group facilities and sponsor equity. We have assumed that the title is freehold, that it is free of encumbrances that would affect value, and that any existing security will be released on or before first drawdown. We have not searched title.

4.4 Proposed improvements

Item	Detail
Levels	9
Site area	1,850 sqm
Gross floor area	16,000 sqm
Net lettable area	13,600 sqm
Basement car spaces	42
Other	End-of-trip facilities
Sustainability	Target 5 Star Green Star Buildings; NABERS Energy 5 Star commitment
Builder	Calloway Construction Pty Ltd (guaranteed maximum price)

Table 3: Approved scheme

The car parking ratio is low, at one space for about every 324 sqm of NLA. This is consistent with a fringe location with strong public transport access and with the planning controls. Tenant demand in this part of the market is oriented to transport and end-of-trip amenity, and we do not regard the ratio as a weakness.

4.5 Leasing status

Executed agreements for lease cover 5,168 sqm, which is 38% of NLA, across two tenants. Heads of agreement were converted to executed agreements in November 2025. One tenant, a professional services firm, has contracted for about 3,100 sqm, and the other, a technology business, for about 2,068 sqm. The Borrower reports that contracted face rents are consistent with the assumed net face rent of A$880 per sqm. The balance of 8,432 sqm, or 62% of NLA, is uncommitted.

5. Market commentary

The Sydney CBD fringe office market has remained active, with demand driven by occupiers seeking lower occupancy costs than core CBD space while retaining good transport access. Tenants are concentrating on higher quality, better-rated buildings and are willing to forgo space in older stock. New A-grade supply with strong sustainability credentials is receiving the strongest enquiry, while secondary stock is facing longer letting periods and higher incentives.

Vacancy across Ultimo, Pyrmont, Surry Hills and Haymarket combined has been elevated relative to the core, in our estimate in the low double digits, with a wide gap between prime and secondary buildings. Several competing projects in Pyrmont and Surry Hills are in planning or under construction, and the timing of their completion relative to this building is a risk to leasing. Incentives for new leases on the fringe remain material, and we have therefore treated them as a project cost, not as a reduction to face rent.

Investment demand for well-leased fringe office assets has been stable, supported by domestic private capital and syndicates. Pricing for new or near-new buildings with strong green credentials has been firmer than for older stock. The evidence below reflects sales of comparable fringe assets over the last 12 months.

Property	Sale date	Price (A$M)	NLA (sqm)	Cap rate	A$/sqm NLA
Harris Street, Ultimo	Sep 2025	96.5	7,480	6.40%	12,900
Bourke Street, Surry Hills	Jun 2025	71.0	5,700	6.60%	12,460
Pyrmont Street, Pyrmont	Nov 2025	118.0	9,300	6.75%	12,690
Elizabeth Street, Haymarket	Feb 2026	64.5	5,250	6.55%	12,290

Table 4: Investment sales evidence, CBD fringe office

The evidence shows capitalisation rates of 6.40% to 6.75% and values of A$12,290 to A$12,900 per sqm of NLA. These sales are of existing buildings with established tenancies. The subject, once complete, would be a new building of higher specification than most of the evidence, which supports a rate at the tighter end of the range, subject to the leasing assumption. We have adopted 6.50%.

6. Valuation approach

6.1 Methodology

For the as is value we have used direct comparison of recent development site sales, cross-checked by a residual (hypothetical development) analysis. For the as if complete value we have capitalised the net face income of the completed building at a market rate, and cross-checked the result against the rate per sqm of NLA derived from investment sales. The as if complete value is not a forecast of the price at which the building will sell. It is our assessment of the value of the completed and fully leased building at the valuation date, using current market inputs.

6.2 Land value: direct comparison

Site	Sale date	Price (A$M)	Approved GFA (sqm)	A$/sqm GFA
Site A, Pyrmont	Oct 2024	38.0	12,400	3,065
Site B, Surry Hills	Mar 2025	44.5	13,100	3,397
Site C, Ultimo	Aug 2025	29.8	9,800	3,041
Site D, Haymarket	Dec 2025	61.0	18,200	3,352
Subject (adopted)	Mar 2026	52.0	16,000	3,250

Table 5: Development site sales evidence and subject

The comparable sales range from A$3,041 to A$3,397 per sqm of approved GFA. The subject benefits from a current approval, a site of regular shape and a pre-leasing result that reduces holding risk for a purchaser. Against this, the street address is secondary. We have adopted A$3,250 per sqm of GFA, which results in A$52.0M. This is 5.1% above the June 2023 purchase price of A$49.5M, which we consider reasonable given the approval granted in March 2025 and the pre-leasing achieved since.

6.3 Land value: residual cross-check

The residual analysis starts with the as if complete value of A$184.0M and deducts a developer's profit of 15.0% on cost and all non-land costs. A value of A$184.0M, divided by 1.15, gives a total cost of A$160.0M that supports the target return. After deducting construction of A$84.0M and other costs of A$24.0M, the residual land value is A$52.0M. The result matches the direct comparison. We note that the residual is simplified, because finance costs in the other cost allowance would vary with the land value and the development period, and the cost inputs are not yet verified.

6.4 Completed value: income capitalisation

Input	Adopted
Net lettable area	13,600 sqm
Net face rent	A$880 per sqm
Net face income	A$11.97M p.a.
Capitalisation rate	6.50%
Capitalised value	A$184.1M
Adopted value	A$184.0M
Value per sqm of NLA	A$13,529
Initial yield on total development cost	7.5%

Table 6: As if complete valuation, income capitalisation

Net face rent of A$880 per sqm is within the range indicated by recent fringe leasing evidence for new A-grade space, which we place at about A$840 to A$920 per sqm. The pre-leases support the assumption for 38% of the area. The value excludes any separate income from the 42 basement car spaces, which we regard as part of the amenity supporting the face rent. Leasing incentives, letting fees and holding costs to stabilisation are treated as project costs within the A$24.0M allowance and are not deducted again from value. Our figure is therefore a value on a fully let basis, and the Lender should not read it as a value on the day of practical completion if leasing is incomplete.

The adopted value of A$13,529 per sqm of NLA is about 5% to 10% above the investment sales in Table 4. We consider the premium appropriate for a new building with strong green credentials, but it indicates that the value does not include a margin for error on the leasing assumption.

7. Valuation conclusion

Basis	Method	Value (A$M)
Market value as is	Direct comparison, residual cross-check	52.0
Market value as if complete	Income capitalisation at 6.50%	184.0
Total development cost (Borrower)	Not verified	160.0
Implied profit on cost	Value less cost	24.0

Table 7: Valuation conclusion

We assess the market value of the freehold interest in 41 Kent Street, Ultimo, as is, at A$52.0M (fifty-two million dollars), exclusive of GST. We assess the market value as if complete, on the assumptions in this report, at A$184.0M (one hundred and eighty-four million dollars), exclusive of GST.

8. Sensitivity analysis

The tables and chart below show how the as if complete value, the debt-to-value ratio on the A$84.0M facility limit and the profit on a cost of A$160.0M respond to changes in the capitalisation rate and rent. Each row changes one input from the base case.

Cap rate	Value (A$M)	Debt/value	Profit on cost
6.00%	199.5	42.1%	24.7%
6.50% (base)	184.0	45.7%	15.0%
7.00%	171.0	49.1%	6.9%
7.50%	159.6	52.6%	-0.3%

Table 8: Sensitivity to capitalisation rate (rent A$880 per sqm)

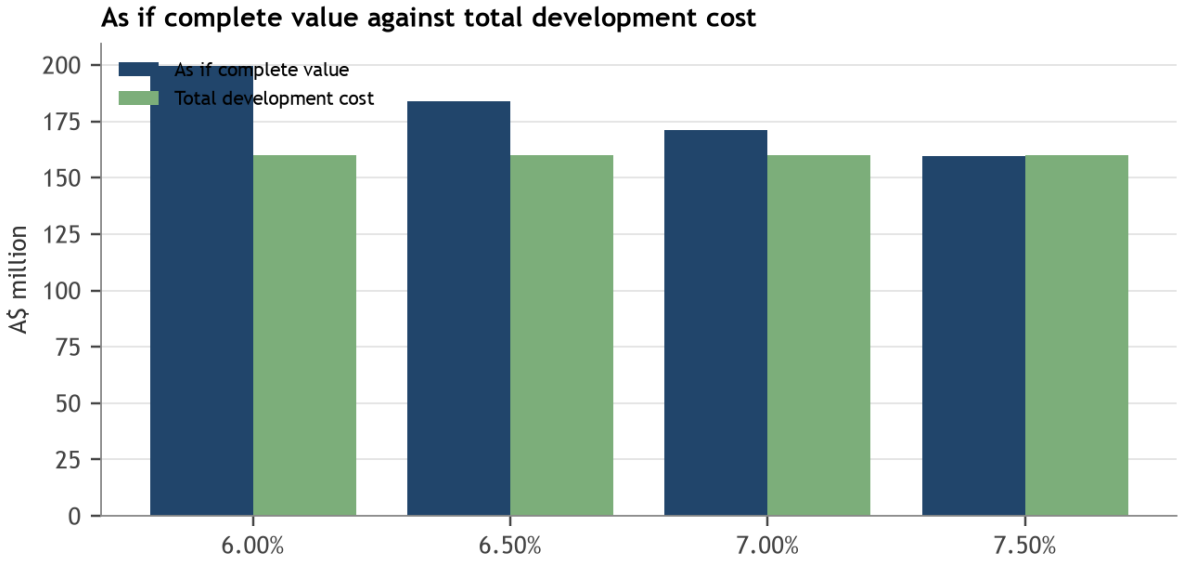


Figure 1: Value at alternative capitalisation rates, with rent at A$880 per sqm

Net face rent	Value (A$M)	Debt/value	Profit on cost
A$830 per sqm	173.7	48.4%	8.6%
A$880 per sqm (base)	184.0	45.7%	15.0%
A$930 per sqm	194.6	43.2%	21.6%

Table 9: Sensitivity to net face rent (cap rate 6.50%)

A softening of 50 basis points, to 7.00%, reduces the value by about A$13M and the profit on cost to 6.9%. A softening of 100 basis points removes the developer's margin entirely. A combined downside of rent at A$830 per sqm and a rate of 7.00% gives a value of about A$161.3M, a debt-to-value ratio of about 52.1% and a profit on cost of about 0.8%. In this case the facility remains well covered by the value of the security, but the sponsor's equity of A$76.0M absorbs the whole of the loss in value.

9. Development cost and funding

Component	A$M	% of TDC
Land (as is value)	52.0	32.5%
Construction (GMP, Calloway)	84.0	52.5%
Finance, fees, incentives and other	24.0	15.0%
Total development cost	**160.0**	**100.0%**

Table 10: Total development cost (Borrower information, unverified)

Construction at A$84.0M equates to about A$5,250 per sqm of GFA. Total development cost of A$160.0M equates to about A$11,765 per sqm of NLA. We consider both within the range of costs for comparable fringe office projects, but we have not tested the scope, the inclusions or the exclusions of the contract. Cardew Hollis Quantity Surveyors Pty Ltd has been engaged by the Lender and we expect its report to address these points. Any material difference between its findings and the Borrower's budget may require us to revisit the residual cross-check in Section 6.3, although not the as is value or the capitalised value.

The proposed funding is A$84.0M of senior debt and A$76.0M of sponsor equity. Equity comprises the site at A$52.0M and A$24.0M of cash that is still to be injected before first drawdown. The Borrower reports that the facility term is 42 months, being about 30 months of construction and 12 months for completion, leasing and

exit. Indicative pricing in the information memorandum is 3-month BBSW plus 5.25% p.a., with a 1.50% establishment fee and a 1.00% p.a. line fee on the undrawn commitment. The finance cost allowance is a large part of the A$24.0M non-construction cost allowance. Pricing is floating, and the information memorandum does not confirm a hedging strategy.

10. Risks affecting value

The following matters affect the security and the reliability of our conclusions. They are not a credit assessment, which remains with the Lender.

- Leasing risk. 62% of NLA, or 8,432 sqm, is uncommitted. The assumed face rent of A$880 per sqm and the level of incentives depend on continued fringe office demand and on competing supply in Pyrmont and Surry Hills. A slower leasing campaign would extend holding costs and could reduce achieved rents.
- Exit and valuation risk. The value of A$184.0M is sensitive to the 6.50% capitalisation rate. A 50 basis point softening reduces value by about A$13M and erodes much of the 15.0% profit on cost.
- Construction cost and delay risk. The guaranteed maximum price contract mitigates cost overruns, but contractor insolvency, latent site conditions or industrial delays could extend the program and increase interest costs beyond the budget.
- Interest rate risk. The facility is floating rate, and the information memorandum does not confirm any hedging. Higher base rates would increase finance costs, which sit within a fixed allowance.
- Sponsor concentration and key person risk. The group is family controlled and decision-making and guarantees are concentrated in the Moretti family. Group net debt of A$38.5M ranks alongside this project's funding needs.
- Equity contribution risk. A$24.0M of the A$76.0M equity is cash still to be injected before first drawdown, and any cost increase requires further sponsor funding.
- Valuation basis risk. The as if complete value assumes full leasing at the adopted rent. It does not allow for lease-up vacancy, and a sale before the building is fully leased may achieve a lower price.

11. Assumptions, qualifications and limitations

- The valuation date is 6 March 2026. Market conditions, particularly capitalisation rates, can change between the valuation date and the date of any drawdown or enforcement. We recommend an update before first drawdown if more than three months have passed, and on practical completion.
- We have assumed the development approval is valid, the site is free of contamination and latent conditions beyond those allowed for in the GMP, and the building will be completed in accordance with the approved plans, in a proper manner and within the budget.
- We have relied on the information memorandum, the area schedules and the summaries of the agreements for lease. We have not read the full agreements for lease or the GMP contract. We have assumed the pre-leases are enforceable and that the tenants are creditworthy.
- The Cardew Hollis Quantity Surveyors Pty Ltd report was not available at the valuation date. The cost information is the Borrower's.
- We have not searched title, and we assume the site will be free of mortgages and other encumbrances that would affect value once existing security is released.
- All values are exclusive of GST. No allowance has been made for transaction costs or tax on any sale.
- The as if complete value is not a forecast of sale price, and it should not be read as a value for a sale at practical completion if leasing is not complete.
- This report must be read in full. Extracts may be misleading. It may be disclosed to the Lender's advisers and, on a non-reliance basis, to participants in the facility, but only with our written consent.

12. Certification and sign-off

We certify that we have inspected the property, that the statements of fact in this report are true and correct to the best of our knowledge, that our analysis and conclusions are limited only by the assumptions and qualifications stated, and that we have no pecuniary interest in the property or its outcome. Our fee is not contingent on the value reported or on the Lender's decision to lend.

Valuer	Brennan Whitlock Valuation Pty Ltd
Signatory	Daniel Whitlock, Director, Certified Practising Valuer (AAPI)
Reviewed by	Priya Abernethy, Senior Associate Director, Certified Practising Valuer (AAPI)
Date of report	6 March 2026
Inspection date	3 March 2026
Addressee	Quillwood Credit Partners

Valuer sign-off